

cases, you have to leave your money with the insurance company for years before you can do anything else with it. Therefore, be very careful when buying an annuity.

Be especially careful about putting retirement savings into an annuity. Don't roll a 401(k) or IRA into an annuity unless you have a very good reason. At your age, the most likely benefit you can get from an annuity is tax deferral. Retirement accounts already benefit from tax deferral, so annuities must offer you an additional benefit if you're going to pay the costs associated with them. Putting retirement savings into an annuity for the purpose of tax deferral is like wearing a belt and suspenders at the same time to keep your pants up.